

Advisory to Lending institutions based on the suggestions received during National review meeting with states and banks

To ensure uniform, transparent, and borrower-centric implementation of the PM SVANidhi scheme, the following suggestions/feedback received during the National Review Meeting with States and Banks held on 16 January 2026, along with key points already stipulated in the guidelines, are reiterated. All Lending Institutions (LIs) are advised to follow the instructions outlined below.

S. No.	Parameter	Details
1	Loan Amount	• 1st Tranche - ₹15,000 (Min loan amt: ₹5,000) • 2nd Tranche - ₹25,000 (Min loan amt: ₹15,000) • 3rd Tranche - ₹50,000 (Min loan amt: ₹30,000)
2	Repayment Period (fixed)	• 1st Tranche - 12 months; • 2nd Tranche - 18 months; • 3rd Tranche - 36 months; Pre-payment is allowed without any penalty or cost.
3	Moratorium	As per LI policy, within the specified repayment period. A minimum repayment period of 6 months shall be required to avail the next tranche of loan after the 2nd tranche. In case of early repayment, a street vendor shall become eligible for the next higher loan only upon completion of the minimum repayment period.
4	Processing/ Upfront Fee	• 1st Tranche - Nil • 2nd Tranche - Nil • 3rd Tranche - As per LI's policy in line with RBI guidelines
5	Margin Money	Nil
6	Age of Street Vendor	Must be an adult (minimum 18 years); no upper age limit.
7	Security	Unsecured; guaranteed by CGTMSE (no guarantee fee). Demand Promissory Note (DPN) may be obtained as per the policy of the LI.

8	Credit Score	Not applicable for SVs under this scheme. Loan may be denied only if any existing loan is NPA or an account is written off by any LI.
9	Udyam Registration/ Assist	Banks shall not insist on Udyam registration; however, if required, banks may facilitate the vendor's Udyam registration themselves.
10	Project Proposal	Not required
11	Monitoring/ End Use Verification	As this scheme is a special initiative supported by the Government of India to integrate SVs into the formal banking system, it is advised to limit monitoring to the provisions explicitly outlined under the scheme. LIs are advised not to insist on pre-sanction or pre-disbursement visits to the residence or workplace of the street vendor.
12	Insurance	• 1st Tranche - Nil • 2nd Tranche – Nil • 3rd Tranche - Not mandatory; LI may offer insurance only up to the disbursed loan amount and for the loan repayment period, with borrower's consent. LIs are directed not to compel street vendors to purchase insurance or other financial products.
13	Loan Documentation	For all 3 tranches – • LIs shall sanction loans based on minimal documentation and strictly adhere to the notified document checklist, without requesting any additional documents. Document checklist: - CoV/ ID Card/ LoR issued by ULBs or TVC, to SVs working within ULB's jurisdiction Or LoR approved by the BDO to SVs operating in census towns, peri-urban areas etc. - Aadhaar Card - Voter Identity Card (for SVs from Assam and Meghalaya only) who do not have Aadhaar Card - Savings Bank Account Passbook/ Bank Statement with account details of the SV - Valid and Unique UPI ID linked to the SVs bank account

		<i>Note:</i> All LoRs must be applied for and issued through the PM SVANidhi Portal (PMS Portal). Manually issued LoRs will not be valid. (For 3rd Tranche only: optional one-time declaration on stock/ use of funds; no insistence on receipts.) • LOR is required only for C, D & E category of vendors for the 1st loan only and not for A & B category vendors. • LIs shall not to insist on a fresh LoR for sanctioning the 2nd and 3rd tranche loans, as the LoR submitted with the 1st loan remains valid for both subsequent tranches. Address and Identification Proof • Aadhaar and vendor identity details available in LoR/ CoV to be treated as sufficient for identity and address verification. • LIs not to insist on formal local address proof, especially for migrant, mobile or slum-dwelling vendors.
14	Other Points Important	LIs to follow the below mentioned points: • Process all assigned loan applications (new and resubmitted), and update the PMS Portal without delay, and do not return applications for trivial reasons. • Immediately mark loan closure on the PMS Portal upon full repayment to enable the vendor to access the next tranche. • If an SV is not contactable or is not interested, the concerned ULB must be informed before returning the application, so that the ULB may attempt to connect with the SV. • LIs are expected to sanction and disburse the loan as early as possible, but it should not be more than 30 days from the date of receipt of the application by the bank. • Submit interest subsidy claims on the PAiSA Portal on a quarterly basis within the prescribed timelines.

		• Ensure regular training of branch-level staff for consistent and borrower-friendly implementation of the scheme. • Conduct IEC activities at branches, ATMs and outreach camps to enhance vendor awareness on scheme benefits, repayment discipline and digital usage. • Adopt a proactive outreach approach in census towns and peri-urban areas, leveraging their branch network for wider coverage. • Ensure timely resolution of grievances related to loans and credit cards in a transparent manner. • Fortnightly meetings to be conducted between lenders and street vendors.
15	Credit card	• Banks shall work with State Governments, ULBs, and Blocks to spread awareness about the credit card through multilingual videos, in-person sessions, and other IEC materials. • Before issuing credit cards, banks shall clearly inform vendors about: ○ Card activation process, ○ Judicious and responsible card usage, ○ Bill repayment methods, due dates, and credit discipline, ○ Fraud prevention, cyber safety, and ○ Grievance redressal mechanisms